STHIROS
Strategy. Risk. Cyber. AI.



Detecting Rs. 1.78 Crore in erroneous health insurance claims before they were paid

A leading health insurance major in India engaged Sthiros to design and implement a structured Pre-Audit mechanism, reviewing claims before final settlement to prevent erroneous and excessive payouts.

Client	Product Deployed	Sector	Geography
A Leading Health Insurance Major in India	**Pre-Audit of Claims, Financial Controls & Compliance**	**Health Insurance**	**India**

The Challenge:

When a rising claims ratio hides in plain sight

This insurer was experiencing an adverse trend in its Incurred Claims Ratio, driven by growing control gaps in claims processing, inaccuracies, leakages, and overpayments silently eroding profitability as claim volumes grew and turnaround times shortened.

Manual Claims Processing
Heavy reliance on manual intervention increased the risk of human error and inconsistency in claim assessments.

Inadequate System Controls
Critical system checks were absent in key areas such as sub-limit enforcement and instalment premium deductions.

Lack of Feedback Integration
Audit findings were not systematically incorporated into process improvements, allowing recurring errors across settlements.

Approval of Ineligible Claims
Claims falling within break-in or waiting periods, or involving undisclosed pre-existing diseases, were approved without adequate screening.

Overpayment on Claims
Settlements were inflated by non-deduction of IRDAI-mandated non-payables, overlooked bill discounts, and breaches of sub-limit thresholds.

Inadequate Fraud Control Measures
Claims were processed without mandatory field investigations for high-risk hospitals, with payments made beyond agreed network rates.

The Solution:

A structured Pre-Audit framework, built on three pillars

Sthiros designed and implemented a structured, sample-based Pre-Audit framework, targeting the highest-risk claims before settlement rather than reviewing everything indiscriminately.

In just 9 months, the engagement moved the client's claims function from a reactive, volume-driven settlement model to a proactive, control-led capability.

The Pre-Audit engagement has uncovered significant savings potential in an incredibly short span. The structured approach, the quality of observations, and the speed of execution have genuinely impressed us. This has given us the confidence to scale this initiative further.

The Methodology

1

Parameter-Based Case Selection

Pre-defined audit parameters configured to auto-select claims with a higher probability of error or excess payout, targeting known risk categories from prior analysis.

2

Checklist-Driven Audit Execution

An issue-specific audit checklist developed to detect every identified gap category, reviewed within a defined window so findings could influence settlement before finalisation.

3

Findings Documentation & Control Feedback

Audit observations categorised by error type and pattern, shared with operations and technology teams to embed targeted controls and prevent recurrence at scale.

What This Means

Audit before you pay, not after.

Target the highest-risk claims first.

Findings should fix the system, not just the claim.

Outcomes

Rs. 1.78 Cr

Erroneous claims detected

Identified across the audit period through structured, parameter-based review.

Rs. 80 L

Real-time savings delivered

Actual prevented payouts stopped before settlement.

520%

Total ROI realised

Across the full engagement, including systemic recommendations.

219%

Confirmed ROI

Realised savings measured directly against engagement cost.

Get in touch

Is your claims ratio protected, or just processed?

Speak to Sthiros about what a structured Pre-Audit programme can unlock for your claims profitability.

Connect with Us:
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